

UBS Global Consumer and Retail Conference 2024

Company Participants

- Kyle Watson, Chief Marketing Officer
- Toby David, Chief of Staff

Other Participants

- Peter Grom, Analyst, UBS

Presentation

Peter Grom {[BIO 16488235 <GO>](#)}

All right. Good afternoon, everyone. Welcome to the UBS Global Consumer and Retail Conference here in New York City. My name is Peter Grom. I'm the U.S. Beverages and Household Products analyst here at UBS. And we are very excited to have joining us this morning from Celsius, Chief of Staff, Toby David, and Chief Marketing Officer, Kyle Watson, both recent promotions. So congratulations to you both.

So over the last few years, we've seen some pretty meaningful fragmentation in the broader energy drinks category with the emergence of Performance Energy. A lot of brands are clearly seeing some pretty good growth. But Celsius has really emerged from the pack, and it has become a competitive threat to an industry that has long been dominated by Monster and Red Bull.

We've got a lot of ground to cover today. But just in terms of format for the first 30 to 35 minutes or so, I'm just going to run through a series of questions with Toby and Kyle. The last 10 to 15 minutes, we will open it up for audience Q&A. (Operator Instructions)

Before we start, I am required to read a legal disclaimer as a research analyst, I'm required to provide certain disclosures relating to the nature of my own relationship and that of UBS with any company on which I express a view on this call today. These disclosures are available at www.ubs.com/disclosures. Alternatively, please reach out to me. I can provide them to you after the call. So with that, why don't we get started?

Questions And Answers

Q - Peter Grom {[BIO 16488235 <GO>](#)}

So obviously I want to touch on recent trends and the path forward. But I think it will be helpful to give some perspective to the kind of the listening audience and a bit of the background of the brand. At this point, I think most tier are aware of the brand, but the continued success you've seen in the last few years has been pretty remarkable. In some ways, really hasn't been seen in the energy category before. So for an industry that's kind of been dominated by two players and one that almost every beverage company has tried to get into and kind of failed what has Celsius done differently?

A - Kyle Watson {[BIO 21312520 <GO>](#)}

I think -- so what we did differently really started from the beginning where our brand was really ahead of its time. It was very different. It has evolved a lot. I think that the way it was positioned was around the science and negative calorie weight loss. There were obviously a lot of learnings that happened early on in this company. Growth trajectory. But what I will say is that having -- we launched initially in fitness and vitamin specialty versus typical route to market, especially for energy drinks being retail and convenience.

So that was one interesting thing that really helped us build this brand positioning around health and wellness, fitness. So it was kind of -- then it kind of evolved from -- we weren't pushing out this negative calorie. We looked at -- we need to premiumize it and make it more about this live fit lifestyle and then in line with some of the trends we're seeing around health and wellness, the category really hadn't had a disruptor that was positioned as an energy drink, a true energy drink and also a healthy halo of better-for-you option and a more premium option.

So I think that was really where our branded differently from the beginning. We've continued to build our brand and keep that fitness centric DNA that we have that gives us that credibility around this better for you and like live fit space that we've created. It's a different piece of the category. We've seen other brands emerge within the performance energy space. So -- and I think one thing we've done is with our growth, we've also embraced more of a fitness lifestyle. I think that's really the macro trend to it. It is normal life Fitness is becoming more of a lifestyle.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Great. Then I guess maybe building on that a little bit, another or two components that also stand out to me just how you touch on the channel differences, but also just through your core customer in many ways, the brand seems to appeal to a much wider audience and actually is bringing in new users to the energy drink category. Can you maybe just help us understand who your core customer is today? And has that changed at all, particularly as kind of the brand awareness has grown so much?

A - Kyle Watson {[BIO 21312520](#) <GO>}

Yes. It's definitely a change. I think one thing that's unique about our brand is that we do have a very wide variety of core demographic. Originally, especially when I came to the brand about five years ago, we saw a lot of this female that was coming into the category through our brand 25 to 40. I mean that was really a big piece of our demographic.

And then something we've been doing very strategically is understanding how important it is to bring consumers as they're aging into the category. So bringing them into the category and being the brand that does that, but then also keep them in the category within the brand. And that's our Gen Z focus. We've -- like I said, we have to make sure we're not only focused on Gen Z and new to categories through that demographic, but that we're also still appealing to the demographic we already had. I think one thing is not only bringing females into it, but you're also looking at aging out of the category.

So there's an audience and segment of population that was introduced to the key players in energy and drink energy drinks in college and beyond. I think there is an evolution of expectation as you get into a different life stage of are you going to walk into the boardroom as a 40-year-old Vice President with a bag in your hand or what do you want to be carrying, what it's an extension of yourself. So what we've really seen is that a lot of people are aging out of the category and then into our brand as a better-for-you option and still in that usage occasion of energy.

Q - Peter Grom {[BIO 16488235](#) <GO>}

And then maybe building on that, I mean where are you sourcing customers from? I would imagine, obviously some of it is coming from that traditional energy consumer. But it also seems like you're going to source customers from outside the energy drink category. So just any thoughts on that?

A - Kyle Watson {[BIO 21312520](#) <GO>}

Yes. I think we've seen some insights on outside. We don't have anything specific that we're sharing on what other categories. But one thing just looking at where we can definitely identify it, we've sourced -- we're sourcing about 80% of consumers that are increasing their frequency but also that are new to category. So that's all incremental to the category.

And then additionally, there is around 20 that is basically we're taking from other brands. So I think that's amazing. That's our goal. We really want to make sure we're continuing to drive growth in the category and bring new consumers to the category. And I do think there has been some insights we've seen where, yes, like we're pulling from ready-to-drink coffee, coffee. One thing we'll talk about too is with food service. It's a massive opportunity for our brand.

Our energy is differentiated by the flavor profile in a big way. So if you look at some of the traditional energy drinks and the flavor profile. It doesn't care as well with food. It's not as fruit forward, refreshing. So I think that's kind of something that has allowed us to maybe pull from some of the more traditional categories like (inaudible) because people are drinking it with their food with their meals around months time. That to me is something that's significant and it's an opportunity as well.

Q - Peter Grom {[BIO 16488235](#) <GO>}

All right. I touched on this a bit earlier, but just another thing that's been different is just kind of in the channel strategy with C stores kind of really being later to the game in terms of your distribution. Can you just maybe help us understand what your distribution mix looks like today? How much of your sales are in tracked channels versus nontracked channels? And I guess if you were to look out over the next several years, is there kind of like a target in mind in terms of what your channel mix is going to look like?

A - Toby David {[BIO 20749891](#) <GO>}

So we haven't really given public data as far as what percent of our mix is tracked versus on track. But some of the interesting in what I feel is interesting data points are if you look at Red Bull and Monster, about 70% of their tracked sales are coming through convenience, whereas -- for us, it's around 58%.

That's not because of the lack of performance. It's just because, as Kyle referenced earlier, convenience was really our last channel that we went into. So I view that certainly as the biggest opportunity right now is to increase that as part of our mix. Well we continue to grow the grocery, the mass, the drug, the non-tracked channels, the convenience is the most robust part of energy consumption.

So we feel like if we can continue to grow within that and we plan to have quite a bit of consumption. Not only do you get great sales through convenience but also trial, you get a lot of that somebody trying it for the first time and then going to purchase it off of Amazon or Costco, which are both two markets where we excel.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Great. Then Kyle, you kind of mentioned the away-from-home opportunity here. I think I believe it was 12% of Pepsi sales, as mentioned on the last call, so call it, 6%, 7% of total company sales. Out of curiosity, I mean how does that actually compare to other energy drink companies, if you know?

Then -- why -- you kind of just touched on like how it's going to be different and there's a lot of opportunity for colleges, university sporting events. That makes a lot of sense. But -- how big can food service really be when you think about the opportunity longer term?

A - Kyle Watson {[BIO 21312520](#) <GO>}

From my perspective, and I think Tony, Toby will weigh in on this as well. But I think that it's really more about like the opportunity to continue to grow our brand equity. You think about how many touch points a person or a consumer needs to have with a brand before they're going to convert at retail. And by having our products basically everywhere where people work, like live, work, play it's providing a totally different touch point and it's really increasing our ability to drive brand awareness and have it be more of this funnel that's driving to an ultimate conversion to our brand.

So I think it's very important when it comes to how -- like the food service piece is such a marketing play to me, it hold so much value. We've never been able to play in food service. That's one place that we really -- you're up against Coke and Pepsi contracts everywhere. And even when we look at all the events we do, we do -- we have our own essential (inaudible) store that's a brand owned property that we're creating, where we sponsor different music festivals across the country. And having that -- being able to be at the concessions, and we've embraced this like mocktail, this whole building a mocktail campaign around sober curious movement and people drinking less alcohol these events. I think there is a lot of opportunity. And it really for me, it's a huge value when it comes to marketing. I think Toby can speak more to the overall like from a sales perspective.

A - Toby David {[BIO 20749891](#) <GO>}

Yes. I mean you asked what for Red Bull Monster. I don't know exactly what it is there's a percentage of their sales. I mean obviously for Red Bull, the mixing of it with alcohol was a significant portion of their business. I mean I've heard what the figure is, I don't want to speculate because it's second hand. I will say bang when Bang was at its peak and part of the Pepsi portfolio that we're already well past where they were at within food service, but it's also important to define what foodservice even means because it obviously means food.

So the QSR is out there, and we're seeing quite a bit of success there. That's somewhere we're -- as Kyle kind of referenced, we differentiate ourselves versus the monsters and rebels where people actually drink Celsius with their meals. So you've seen us go into Jersey Mike's, Dunkin' Donuts, which is actually very interesting given their coffee is a big piece of their business, broadest -- so that's certainly a big opportunity for us. But as you define the rest of the category, it's hospitals, hotels, casinos, colleges and universities. So just the multiple touch points that gives us a great opportunity to build the brand awareness.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Great. Then obviously you've seen tremendous success. But clearly, the move into the Pepsi system aided in that success. Can you maybe just touch on the relationship or the health of the

relationship between you and Pepsi at this point?

A - Toby David {[BIO 20749891](#) <GO>}

Yes. Great relationship. I mean we work very closely through all different levels of their organization. We meet with their executive team pretty frequently. We have a lot of ex Rockstar and Pepsi folks on our team. It actually is part of what helped the transition from our previous network into Pepsi be as seamless as it was. But listen, they've been phenomenal for us. We were able to reach different areas, foodservice -- just talking about that, we wouldn't be able to tap into that in the meaningful way that we've been able to, whether it's college University. You can't get on to college campuses unless you're in a red or blue truck.

So Pepsi has been instrumental on that. You've seen our TDPs have expanded significantly, especially independent convenience big opportunity as well as the incremental placements you get within the retail footprint. I mean it's important to note that -- our sales reps are the ones calling on the Tier one and Tier two accounts, which are pretty much any chain account that you'll find across the country.

So we're fighting to gain space in the planograms with our own reps. Where Pepsi helps us is they get us incremental placements within the store, whether it's a Pepsi cooler, whether it's display activity, they merchandise for us, and they do a phenomenal job -- then incorporate both a notch above the rest.

Q - Peter Grom {[BIO 16488235](#) <GO>}

So let's shift gears to just talking about the path from here. I recognize you don't give specific guidance. But Toby, love to get your perspective on kind of the growth drivers in the U.S. at this stage. You touched on many earnings calls, but ACV is already quite high, but your TDPs are kind of still well below the competition.

So when you think about the building blocks of growth for '24, what are you expecting in terms of GDP growth versus velocity? There's obviously a lot of discussion on the velocity numbers in the scanner data. But just would love some perspective on how you're thinking about the building blocks of growth for this year.

A - Toby David {[BIO 20749891](#) <GO>}

Yes, absolutely. So 98% ACV, we're essentially at full distribution within the tracked channels. But all that means is you have at least one SKU and 98% of the tracked stores, so where we're really focused on this year is that breadth of distribution within the store, so getting more SKUs, number one, which we averaged close to 16 SKUs per location with Tracked data.

If you look at Red Bull, Monster, they're close to 25. That only tells you part of the story. You've got the Monster Super SKU the green claw for example. But that's one SKU. But if you walk into a lot of convenience stores, I'm going to have two full shelves worth of product just at one SKU. So they're facing that they'll have within a cooler, within the C-store cooler, they might have 45, 50 facings with 25 SKUs where it's typically for Celsius -- if we have 16 SKUs, it's going to be 16 facings. You come down to South Florida and you're starting to see us get double in triple facing.

So you're seeing three orange, three water melon, three peach rod, you build out this massive footprint. So that's a big opportunity for us. Then you look at Monster and Red Bull, they have -- the stores are littered with products. So they'll have their Monster coolers that are branded and you'll have a countertop cooler. You referenced TDPs, Yes. We've got a ways to go. So just

because we're at a 98% ACV, that only tells part of the story. So we expect for the breadth of distribution to improve. We don't -- as you said, we don't give the guidance. You'll see by the end of May what that total planogram reset look like, and it will stair-step probably each month up until May.

And then on top of that, I think independent convenience is really a massive opportunity for us. There's probably 250,000 independent convenience stores around the country. They don't have the same velocity typically as a chain, look at 7-Eleven. But it's just a law of big numbers. So we want to be in there. Pepsi is one of the few distributors that can get you that reach with those independent convenience stores. So again convenience is really a high priority for us, but we're going to continue to grow the total pie.

Q - Peter Grom {BIO 16488235 <GO>}

Great. Then maybe building on the shelf reset point, obviously a big topic of discussion on CPG, but (inaudible) more broadly. You sounded constructive on the call -- on the last call just on expecting some favorable outcomes as it relates to shelf resets. But a lot of your competitors are also sounding pretty constructive.

A - Toby David {BIO 20749891 <GO>}

Nobody has ever had a bad manic.

Q - Peter Grom {BIO 16488235 <GO>}

Well I'm just wondering, is it possible that you could see optimism across the entire energy gain categories as it pertains to shelf resets like maybe like energy is actually taking more share from - or more shelf space from other categories.

A - Toby David {BIO 20749891 <GO>}

Absolutely. We're seeing that across the board that energy as a category is growing not only in consumers retail footprint. So you see coffee, CSDs, dairies, teas, waters are all shrinking a bit, and it's all to the benefit of everyone within the energy category. So we have that to our benefit as we look to expand space. Then we don't look to target Red Bull and Monster space at this point in time. Those are two very powerful brands, great brands. There's plenty of other -- we call them wounded gazelles that are just not paying their fair share of rent within the cooler that we target. And hopefully, we'll see where -- what comes to fruition by...

Q - Peter Grom {BIO 16488235 <GO>}

And so within the energy cooler itself, it sounds like you are expecting more space. Are you going to get better placement as well?

A - Toby David {BIO 20749891 <GO>}

Yes. That's objective. I mean many times in certain regions of the country, especially some of the regions where we're still in our infancy. You'll find this down in the basement or the crack and you might only have four or five facings and it's very difficult to find. So not only are we looking to get more space, we try to get that eye-level placement or touching Red Bull and Monster is the ideal situation.

Q - Peter Grom {BIO 16488235 <GO>}

Then I guess when you kind of touched on this, you're expecting, I guess the step function change each month. But like really, when should we start to see the benefits of this in the data. We started to see some acceleration in the dollar share in the tracked data, kind of the start of the year that seems to be more around the Essentials line rather than necessarily shelf resets. Maybe I'm wrong on that front. But with the big accounts, is this dynamic something we should start to see in the data in the coming weeks? Or is this more kind of like April, May timeframe?

A - Toby David {[BIO 20749891](#) <GO>}

I think March, April are big months as far as resets. I don't know the exact percentages of where we're at throughout the total retail reset at that point in time. But I think March and April, you'll start seeing it. But if you look at expense if you're looking at two weeks snapshot or a 4-week snapshot, you're always to the past. So I mean I think by the end of April, you'll have a pretty good idea.

Then there's still a couple -- I know like Circle K, for example, is a May reset typically. So which is the second largest convenience store chain in the country. So that's still meaningful in May. So again by the end of May you'll have the totality of it, but you should see a stair step over. If you're looking at two-week data, it should every two weeks or four weeks start to hopefully notice improvement.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Great. Then I guess just maybe kind of talking to the market share opportunity. I know you're not going to give guidance and you're not going to specifically give a target on market share, but I guess I'm going to still try to get it out of you anyway Toby. But you've long talked about the market share on Amazon, the market share in South Florida, 24%.

More recently, you're going to start to add more cities to that conversation. I think you cited 12 markets where you have 15% share or more. So when you think about the path from here, the low double-digit share, 11.5, how quickly can we reach mid-teens? Like I mean it seems like it will be hard to add another 400 basis points in the next year as you won't get the same distribution benefit. But curious how you think about like kind of the glide path from here.

A - Toby David {[BIO 20749891](#) <GO>}

Yes. So as you referenced, I'm not going to give guidance, but we try to provide color when we can. We do talk about Amazon, and there's a reason why we talk about Amazon because we feel like that that's -- when there's an apples-to-apples comparison, where it's not about shelf space, or anything else that we can compete with Red Bull or Monster, where we're number one. Costco is another example. I mean we're one of the top-selling beverages at Costco. And when you look at the footprint we have there, it's very similar to Monster and Red Bull.

So as we gain the shelf space, and we hope to gain significant shelf space, not just this year but in coming years, we feel like that should narrow the gap. We've said -- you mentioned the South Florida data. Last time we referenced it, I think it was the Q3 data, and it was 24%. There's no reason why we didn't mention it last, and I think it kind of -- we were busy and escape this in the Q4 earnings. So maybe we'll update that in Q1. But 12 markets that are over 15% share, several of them, like a hair under 20, they're some of the largest markets in the country.

So we have a proof of concept, we believe that it works. As far as timing on it, we'll see. But we're -- John, our CEO, has said over the years. I think early on, people looked at them like it was

crazy that we would takeover is the number1 energy drink in the country. I think now people are starting to think okay it's not so crazy anymore, and we certainly don't think it is.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. And then I guess it sounded like on the last call, one of the biggest opportunities or one of the gaps, if you will, in terms of getting to that share, call it, like 15% share was really in the convenience, and that was an area that you were later to the game at. But is there anything from a channel -- or is there anything about that channel that actually would limit your ability to see similar market share to what you see in online or in FDM, maybe the core consumer is different, right? There's more competitive shelf? Like just any thoughts on if the opportunity is different versus what we've seen elsewhere.

A - Toby David {[BIO 20749891](#) <GO>}

Yes. I mean I would just say that we've proven -- we haven't given the data on 7-Eleven as an example. We know what our market share is at 7-Eleven, and I think it shows that we can compete nicely with the big players. It's larger than what our national average is, and that's in total, (inaudible) data, can't give it out, but it's sizable. That's a national to me in store chain.

I think a couple of years ago, people were concerned of whether or not Celsius could play whether it was because it was too fitness-oriented, maybe too female oriented. They didn't feel like it could play in convenience. And a lot of the data points we have seem to indicate otherwise. We're confident that given this is the last channel for us to go into and the data points we see, it gives us more confidence at any point we've ever been at in the life cycle of this brand that we can not only grow but also compete with Red Bull and Monster in a meaningful way.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Maybe sticking with that point, just on the competition, I would love to kind of get your perspective on the competitive landscape, brainstorm around. It feels like it's kind of going through a bit of a refresh. You have bang coming back under Monster. There seems to be some concern from at least investors that I speak with that this could alter the momentum of your portfolio. Like what's your -- what are your views on the competitive landscape and how it may or may not impact your momentum?

A - Kyle Watson {[BIO 21312520](#) <GO>}

Yes. I think -- so we were -- we're paranoid about everything. By the way as a brand like we are we legitimately like we watch every brand that comes out. And no matter how big, how small, I mean it can be influence or led brands, like there's always this competition looming but I would say with rain storms specifically, obviously coming from Monster, that's a huge immediate threat, right?

Like we're looking at that and looking at the design of the can, the flavor profiles, I mean some of the flavor profiles are almost identical. And it's -- of course they're executing flawlessly merchandise right next to our brand. So I think in the beginning, we're watching it really closely. We aren't as concerned, but of course we're still paranoid. I think that it's something where it's positioned almost like more of a value proposition. I think that by making it look so close to our brand, but not spot on, it looks just like it's trying to be us, but not us.

I think that I'm a marketer, and I think I -- obviously I'm a little -- I'm drinking a little bit of a Kool-Aid, but I think that what we've done is it's not just a product, we built a brand. And that does

have a lot of value when it comes to is somebody just going to look at -- look in the (inaudible) and see a brand that looks like ours with a similar flavor profile and immediately go to that brand? Or are they going to stay true to a brand that they feel like has aligned with themselves and that they feel more of an emotional connection to.

And that's something that's important for us as we've built these communities of people around, whether it's fitness, our athletes, lifestyle, we've always been very active from a social media and influencer standpoint. And it's really important because you're building these really like loyal communities of followers and consumers that they're not only drinking your products. So when a brand like that comes out, it's a similar product, but is it a similar brand? I think that, that's part of it. And that's why we're not as paranoid maybe as...

A - Toby David {BIO 20749891 <GO>}

Yes. I would just say as far as Bang -- Bang is a great brand. They were close to 10% share. I mean we could probably sit up here for 1.5 hours, probably create a documentary on what happened with that company. It is fascinating that Monster is the one with the brand now, and they were at each other's throats for years and for a variety of reasons, but Bang was eating share from Monster, then Monster creates rain to try to take share and block Bang and now they're all three on the same truck, right?

So I don't know where Bang goes from here. I don't -- it's going to be -- I would be amazed if they got anywhere near where they weren't previously because they have done so well and it's going to be tough to recapture that magic, I think. But even if they get to a four or five share, again I don't know where that comes from, maybe it comes from Monster and Rain. Maybe it comes from Ghost and C4. We don't think it's coming from us. We know we got shelf space when Bang was going through its issues, but we're not going to seed that shelf space back to them. We're getting more shelf space. So we'll see what ends up happening. I will note that our Essential 16-ounce line happened to come out the time that Bang was coming back out. So sometimes the best defense is a good offense.

Q - Peter Grom {BIO 16488235 <GO>}

I hear that. So maybe another area of focus has been on pricing and promotion -- not just for Celsius or energy, this is true across broader CPG. But in the data, it does seem as Celsius has been a bit more promotional and maybe embedded in kind of the flattish gross margin commentary or guidance is some assumption for that to remain. How do you -- this question for both of you, I mean I guess how do you think about promotion versus advertising particularly just given where we are in the company's growth trajectory.

A - Toby David {BIO 20749891 <GO>}

Well I'll touch on the promotions, and you can jump in. As far as promotions, I'd say it has picked up a bit, and part of that is because we launched the Essentials a 16-ounce line in Q4 exclusively at 7-Eleven. And any time you launch a totally new line extension, packaging looks different, you need to promote it in order to induce trial, right? And so 7-Eleven, they got behind it for us. They're excited to take it in as an exclusive -- and I think I felt like we ran a promotion on it for almost the entire quarter.

So we saw that as part of the promotional activity as part of the strategy, a short-term pain for long-term gain. Q1, it rolls out nationally essentials. We're already at (Technical Difficulty) or at least mentioned during the earnings call, it's up to a 40% ACV pretty quickly. We're going to

continue -- those are in new locations. We need to continue to promote it to gain trial, bringing new consumers.

So I would expect, again short term, you're going to see the promotional spend up a little bit. I think as the year goes on, you'll start to see it normalize and we're going to get back to, hopefully, getting the margin to where everybody would like to see it. I think the guidance shared our CFO would give -- not necessarily guidance, but color they had given on the earnings call was that gross margins, at least early this quarter, we'll probably look more similar to what Q4 looks like, and we'll see as the year evolves what it looks like.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. And then before opening up to the audience, and I do have a few more questions on kind of the margins you're just referencing, I'd love to add some perspective on kind of just the international opportunity. You've been in Canada for a couple of months now. It seems like the brand is doing very well.

You're about to launch in the U.K. and Ireland later this year. How should we think about the international opportunity? And I guess how do you think about building brand awareness and kind of share in those markets? Is it the same as what you did here in the U.S.? Is it going to be different?

A - Toby David {[BIO 20749891](#) <GO>}

Yes. So I'll jump in if you want to tackle the brand awareness. I would just say we're excited about the Canada launch. We went in there with Pepsi -- weren't quite sure exactly how it rolled out because it was our first pretty large country that we went into. Obviously it's our neighbor, the proximity to the U.S. was beneficial for us because you get that spillover effect from the U.S. marketing. It's exceeded our expectations. We went in, in the middle of June -- or excuse me, middle of January, and we're -- it exceeded our expectations by quite a bit.

So we'll probably give more color in the Q1 earnings call once we've had basically a full quarter to look at it. U.K. and Ireland, we're going to be entering into at some point in Q2. Excited about that. U.K., one of the largest energy drink markets in the world, critical market for us, we're going to go in there, and we're going to go in there to win. We have Suntory as our partner, really excited to partner with them. I think they're going to do a fantastic job. They're excited to take the brand. I don't know if you want to touch on the branding.

A - Kyle Watson {[BIO 21312520](#) <GO>}

Yes. I think on the branding, we're keeping our brand positioning the same as we launch these new markets. The opportunity is really taking the playbook that we know has worked for us here and making sure we keep that kind of DNA in the fitness and have that extend into these new markets, continue to market in ways that are smart and strategic around as our distribution ramps up, making sure we're paying attention to those key accounts that we're launching in those markets with, making sure that we're driving that conversion at retail. But I think it's really about making sure you're not doing casting too wide of a net.

And then taking, like I said, it's -- we have global properties now. We have -- with our brand, we have big bets that we're really focused on. I mentioned one of them are Essential Live store, which is our brand owned property that we're going to continue to push out into additional markets. We also have Ferrari as a global partnership.

So intentionally, while we're going to be using our global opportunities to launch new markets, including a roster of global influencers that we can also extend into these other markets. So I think one example would just be what Prime was able to do and their success in the U.K. and U.S. And a lot of that's behind now everything is so digital and everything is based on influencer and celebrity and even something like Netflix.

Netflix gives access to views like Love Island. It's like Love Island U.K., Love Island. I mean now it's like crossing borders based on just how much access we have. and how much interest there is in that content. I think that speaks to our strategy around social media and digital being a really big piece of what we're going to do as we go international, but also driving trial in a very smart way.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. So I just want to remind everyone, I've gotten a question or two if you want me to ask a question on your behalf, please submit it, and I will do so. But while I let you guys compile your questions together, maybe just two on margins for me. Starting with kind of gross margin. I think in the quarter, it was a little maybe less robust than maybe some people were hoping and the outlook does imply as you kind of touched on at least in 1Q a bit more of a subdued expansion, I guess.

Can you maybe just help us just understand why it's a bit more subdued in the near term. And I know there's some accounting differences between you and Monster. But when we think about longer term, is looking at like kind of their U.S. gross margin north of 60% kind of -- is that like a reasonable target for Celsius over time?

A - Toby David {[BIO 20749891](#) <GO>}

Yes. So I think we had talked about promotions earlier. So promotions are an above-the-line expense or in discount products. So I think that's where you're seeing a little bit of pressure right now come from because of the Essentials launch. Again short-term pain for gain.

So that's why we're being a little bit more conservative with our approach and the way we're kind of speaking about margins for Q1. Again we still -- we've said for a few years now that we feel like we can approach and have similar margin structure to Monster. That started a few years ago, and you've seen vacillations as far as where Monster has been over time. So we go back to when they were about a 59% gross profit margin. That's about probably roughly 55% for us take out the hop on freight component.

So that's a target that we think we can meet or we believe we can meet over time when we -- as we're scaling the business, and we still continue to feel that way as well as overall profitability for the company. Look at them, I think they're around 30, close to mid-30s as far as on the operating side. So same way.

Our sales and marketing expense last year was 20% for most of the year in Q3 -- or excuse me, in Q4, and we ticked up to 23% because we're going to continue to invest behind a brand that's growing at a rapid rate and trying to catch up with Monster and Red Bull. But Monster sitting at 9% on the sales and marketing side.

So we'll lever at some point. The question is, when do you do it? And we certainly don't think right now is the time. We're trying to be as efficient as possible with our spend. We've got John, our CEO, is a CPA by trade, former CFO. He squeaks when he walks. I mean we're trying -- we're going to be as efficient as we possibly can be, and we're going to continue to do so. Yes.

Certainly, I think the Monster margin profile is something we can attain at some point. You mentioned the North America number, it's significant. They vertically integrated in some areas. They acquired a flavor house I think back in 2013-ish, they've started to bring in some of their own manufacturing with the acquisition of the bank facility in Arizona. I think they have one in California as well. But we believe we can get to similar numbers in totality of them, and we'll see where it goes.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. Then maybe on that selling and marketing line? Like is last quarter, 23% 1Q. Where can this go over time? Like is that 9% number that you referenced for Monster are achievable?

A - Toby David {[BIO 20749891](#) <GO>}

Yes. I don't know. We really haven't given color on where we're going to -- how we're going to that similar profile as Monster. I don't -- I know we can dial in quite a bit over time. I don't know what that -- even if you dial it into 13 or 14 -- that's still a 10% improvement over where we were last quarter. Right now, historically, we've been 22% to 24%. The last five or six quarters, we've been around 20% and then ticked it up in Q4 because we're investing behind our infrastructure. We're building out our street teams on both the sales and marketing side, Kyle's building out her department.

But this is for scale, and this is to win. And you have a duopoly up top, Monster and Red aren't going to just live by and let us take market share. They're flying people all around the country, find them in South Florida. They had almost 100 people in South Florida in Q4, Monster did, trying to merchandise against us. They call blitzes trying to take space, take merchandise against us. This is what you would expect. We do the same things and maybe not flying 100 people, we'll bottom cheaper. So yes, we're going to -- we've got to fight against these guys and -- but we're confident.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Great. So I have a couple here from the audience. So the first one is how loyal is an energy drink drinker to their drink of choice? Like what is the frequency for a loyal energy drinker?

A - Kyle Watson {[BIO 21312520](#) <GO>}

That's a good question. I think it's -- it's tough to really, I would say loyal. I think loyal is frequent a heavy consumer. I'd say you're looking at like somebody who's two a day -- we do not recommend drinking more than two a day -- but we I mean we're seeing a huge percentage of our growth by more frequency from our current users.

So we know that, that is increasing. And I spoke about like we all talked about kind of like the food service opportunity. People are integrating it into their routines and even now into maybe another piece of their day. So if they're waking up in the morning and drinking it or they're drinking it before their work out, they might also be drinking it in another kind of daypart, but like I think that is part of it. Yes. I think that the frequency thing is it changes to it evolves. People are maybe not drinking as much caffeine now as they were before, but -- at the same time, it continues to increase.

A - Toby David {[BIO 20749891](#) <GO>}

I would just add to that. We know our competitive set very well. We have an incredible data analytics team. So we know Red Bull Monster's consumers. We know what percentage of their

consumption is coming from those higher frequency consumers? What percent is coming from infrequent, which is actually a very large percentage for both of them that might be just a couple of cans a month. So trying to understand listen, we want to bring in new consumers, but at some point, you need to pull from the two that have 70% of the market share. So if you're going to target them and their consumers trying to understand who you should target, who are the most likely they're going to convert, so our marketing team, in particular, they have some very detailed marching orders on who to be targeting and how we can get people to convert.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. Then this is a question on just or the caffeine amount. Does Celsius need lower caffeine SKU options versus the current 200-milligram caffeine offering to increase per capita consumption rates in the future timeline on when that might be needed.

A - Toby David {[BIO 20749891](#) <GO>}

I don't know -- I probably won't give a timeline. Both Kyle and I sit on the innovation team. We look at a lot of different opportunities. We just launched the 16-ounce line this year. As we look at opportunities to grow the portfolio, there's different ways you can do it within energy, there's different ways.

We talked about a lower caffeinated product. It doesn't mean we're no guidance. I mean we're coming out with a lower caffeine It's something we've talked about. It could be an incremental -- maybe it's a second consumption later in the day maybe people are caffeine sensitive and just like the taste and just can't handle a full can of current Celsius. But these are things we look at. It's something we're interested in, and we'll see where we go.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. Are you concerned at all about GLP-1 drugs or weight loss drugs affecting consumption, love them.

A - Toby David {[BIO 20749891](#) <GO>}

I mean if you think about what those drugs actually do you restrict your calorie count and calories or energy. So people are going to have a lack of energy. So what are they going to do with that lack of energy. They're going to hopefully pivot to energy drinks. And I don't know. I don't know if you're taking a Ozempic if a monster is really like the choice that you would go for. I think we're the natural fit for people that are looking to lose weight. We're the one that had that healthy halo, the fitness background that people were probably looking big. That's probably the choice for me. So I know that the industry, in general, is looking at those Epics of the world and it causes concern not for us.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. Then a couple more here. So the gross -- there's a question on the promotion -- or the margin weakness in promotion. Is it because Consumers are a bit tight on budget and hence, it's harder just to let them try new products. Is it harder to promote new products than before?

A - Toby David {[BIO 20749891](#) <GO>}

Well we're in a heavily promotion category to begin with. I think it's roughly 26 weeks a year, the energy drinks are on promotion. So nowadays, it's more about the depth and breadth of the depth of the promotion instead of going two for \$4, maybe do two for \$4.50. It's all about furring

out where that sweet spot is, so you can keep as much of that profit as possible while inducing trial or getting people to purchase.

So for us, I don't think we're looking necessarily at the economic situation, people are buying -- people are buying energy drinks, even back in 2008 when there was a catastrophic economic environment. You didn't really see much of a slowdown in energy because one of the things people will sacrifice is going out to dinners and which is getting incredibly more expensive. But people have that need for their coffee in the morning, their energy drink to help them get them through the day. It's -- I think it's something important for them.

So I don't think from a pricing perspective, I mean that's one of the questions we get quite a bit. It's about pricing with Red Bull taking price. And there's a lot of different things you can do there. If you take price, you can also toggle that price and take it all back and deal it down in promotions and you start finding that sweet spot of where your ultimate price could be where you don't lose any consumers, but we were able to pick up some margin.

And that doesn't mean we're going to take price. We're looking at what our peers are doing, Red Bull is taking it. Does Monster take it just because Monster takes it, that doesn't mean we'll take it. There's a lot of different components we look at, and there's a lot of different ways you can play around with pricing.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. All right. Well one more here and then we'll call it. So we touched on a little bit of this earlier, but maybe this person is looking for just an update on just how the profile of the consumer has evolved. So historically, the Celsius brand has skewed young, wealthy, female. And I guess they have a some sort of focus on fitness. As the growth has accelerated, how has the profile changed? And I guess is what -- Yes. Just how does that profile change?

A - Kyle Watson {[BIO 21312520](#) <GO>}

Well I mean I think we definitely have a nice 50-50 split male female, which is something we intentionally wanted to cultivate and make sure that we were never -- we're gender neutral and not polarizing because I think you can see the brands that are out there that really went into it, wanting to appeal to females to bring them into the category. I think that's also a miss because you're alienating males, which is a majority of the category.

So I would say we're still at kind of this 50-50 split. I think it was prior years ago it was a little bit more female-skewed. And we still are hitting that like Gen Z, millennial and even a little bit older than that as kind of our primary consumer. I think even breaking that out further, it's spread really well over those consumers.

A - Toby David {[BIO 20749891](#) <GO>}

Yes. I think because of the legacy of the brand, it was -- and I think Kyle referenced this earlier, we were actually aged up, I think versus some of our peers previously maybe call it 25 to 45 million -- and I wouldn't say that we've aged down. We've aged down in the terms of we brought in this younger consumer where we really over-index in any of the surveys we've seen out there that the younger consumers really view Celsius as their energy drink. But we haven't lost that older consumer. In fact, what you're finding is we actually have these two subsets of the new to category.

You have that younger, call it, 18 coming in for the first time. But then you have this other age group that's both male and female, maybe call it 35 to 55, where when energy was first coming to fruition, and we can all remember the media attention of Monster and Red Bull and Rockstar, we're getting is all negative. People are dying.

Congress had to call everybody in the session. So people -- there was a lot of people apprehensive about entering the category. What we're finding is there's a lot of people who never entered the category for probably a lot of those reasons, it just didn't feel like it was for them. And because of the positioning of Celsius, the packaging, the different flavor profiles, it's just more inviting.

So we're -- there's a lot of people. And even on these conferences when Celsius is being held handed out. You see a lot of people consuming it where I don't know. I just feel like if it was a monster or something else, you probably wouldn't see the same frequency of consumption. So we have a different -- we have a very broad demo that we're able to tap into. And I think that's what gives us confidence that we can win in any market in the country because we have such a broad appeal.

Q - Peter Grom {[BIO 16488235](#) <GO>}

Okay. Well we're out of time. So why don't we leave here. Toby, Kyle, thank you so much for joining us today. We wish you nothing but the best of luck going forward.

A - Kyle Watson {[BIO 21312520](#) <GO>}

Thank you.

A - Toby David {[BIO 20749891](#) <GO>}

Appreciate it. Thanks, everyone.

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